

# Learning and Development Policy

Effective January 1, 2026 | Version 3.4 | Talent Development Team

## 1. Purpose

TechCorp is committed to the continuous professional growth and development of its employees. This policy outlines the performance review process, rating criteria, promotion eligibility, mandatory training requirements, and certification sponsorship program. The goal is to ensure that every employee has a clear understanding of how their performance is assessed, what it takes to advance their career, and what resources are available to support their learning journey.

## 2. Performance Review Cycle

TechCorp conducts performance reviews on a semi-annual basis. The two review cycles are aligned with the first and second halves of the calendar year.

| Cycle     | Performance Period   | Review Window            | Results Communicated By |
|-----------|----------------------|--------------------------|-------------------------|
| H1 Review | January 1 - June 30  | June 1 - June 20         | July 15                 |
| H2 Review | July 1 - December 31 | December 1 - December 20 | January 15 (next year)  |

All full-time and contract employees who have completed at least 90 days of service as of the start of the review window are eligible for a formal performance review. Interns are not included in the formal performance review cycle but receive informal feedback from their mentors at the midpoint and end of their internship. The employee's direct manager (reporting manager) serves as the primary reviewer. For L5-level employees, the review is conducted by a peer review panel consisting of other L5 leaders and the CEO.

## 3. Rating Scale

Performance is assessed on a 5-point scale. Ratings are assigned in increments of 0.5 (for example, 3.0, 3.5, 4.0). The scale and descriptors are as follows:

| Rating | Descriptor  | Definition                                                    |
|--------|-------------|---------------------------------------------------------------|
| 5.0    | Exceptional | Consistently exceeds all expectations.<br>Top 5% performance. |

| Rating    | Descriptor           | Definition                                                            |
|-----------|----------------------|-----------------------------------------------------------------------|
| 4.0 - 4.5 | Exceeds Expectations | Frequently exceeds expectations and delivers high-impact results.     |
| 3.0 - 3.5 | Meets Expectations   | Reliably meets all role expectations. Solid and consistent performer. |
| 2.0 - 2.5 | Needs Improvement    | Partially meets expectations. Requires focused development.           |
| 1.0 - 1.5 | Unsatisfactory       | Consistently below expectations. Immediate improvement plan required. |

A rating of 2.0 or below triggers a mandatory Performance Improvement Plan (PIP) in collaboration with the employee's manager and HR. The PIP duration is 60 calendar days for a first occurrence. If the employee does not demonstrate sufficient improvement during the PIP, employment may be terminated.

## 4. Promotion Criteria

Promotions at TechCorp are based on a combination of performance ratings, time in current level, and demonstrated readiness for the next level's responsibilities. The following table outlines the minimum requirements for promotion consideration. Meeting the minimum criteria does not guarantee promotion. Final decisions are made by the promotion review committee (department head, HR Business Partner, and one skip-level manager).

| Current Level | Target Level | Minimum Rating | Consecutive Cycles   | Min Time in Level |
|---------------|--------------|----------------|----------------------|-------------------|
| L1            | L2           | 3.5 or above   | 2 consecutive cycles | 12 months         |
| L2            | L3           | 4.0 or above   | 2 consecutive cycles | 18 months         |
| L3            | L4           | 4.0 or above   | 3 consecutive cycles | 24 months         |
| L4            | L5           | 4.5 or above   | 3 consecutive cycles | 36 months         |

In exceptional cases, the promotion committee may approve an accelerated promotion for employees who demonstrate extraordinary impact (for example, leading a critical product launch or making a company-wide technical breakthrough). Accelerated promotions require endorsement from the VP of the department and the CHRO. Employees who receive a 'promotion\_recommended' flag in their performance review are automatically added to the promotion review pipeline for the next promotion cycle.

## 5. Mandatory Training Hours

All full-time and contract employees are required to complete a minimum number of training hours each calendar year. Training hours are tracked in the company learning management system (LMS)

and reported in performance reviews.

| Employee Level | Annual Requirement | Topics                                                          |
|----------------|--------------------|-----------------------------------------------------------------|
| L1             | 40 hours           | Technical skills, soft skills, onboarding modules               |
| L2             | 35 hours           | Technical depth, cross-functional collaboration                 |
| L3             | 30 hours           | Technical leadership, mentoring, project management             |
| L4             | 25 hours           | Strategic thinking, people management, executive communication  |
| L5             | 20 hours           | Industry trends, board communication, organizational leadership |

Training hours are measured on a calendar year basis (January 1 through December 31). Eligible activities include company-provided courses on the LMS, approved external workshops, industry conferences (attending sessions, not travel time), certification exam preparation, and mentoring sessions (capped at 10 hours per year for the mentor). Employees who do not meet the minimum training hours by December 31 will receive a flag on their H2 performance review and may see an impact on their annual bonus calculation (up to 5% reduction).

## 6. Certification Sponsorship Program

TechCorp sponsors professional certifications that are relevant to the employee's current role or planned career path within the company. The program covers exam fees, preparation materials, and, in some cases, training course costs. Only full-time employees who have completed at least 6 months of service are eligible.

### 6.1 Eligible Certifications

The following certifications are pre-approved for sponsorship. Employees pursuing certifications not on this list may submit a special request to their manager and the Talent Development team for consideration.

- Cloud and Infrastructure: AWS Solutions Architect (Associate and Professional), AWS Developer Associate, AWS SysOps Administrator, Google Cloud Professional Cloud Architect, Google Cloud Professional Data Engineer, Microsoft Azure Administrator, Microsoft Azure Solutions Architect Expert.
- Data and AI: Google Cloud Professional Machine Learning Engineer, TensorFlow Developer Certificate, Databricks Certified Data Engineer, AWS Machine Learning Specialty.
- Project and Product Management: Project Management Professional (PMP), Certified Scrum Master (CSM), Certified Product Manager (AIPMM), SAFe Agilist.

- Security: Certified Information Systems Security Professional (CISSP), CompTIA Security+, AWS Security Specialty, Certified Ethical Hacker (CEH).
- DevOps: Certified Kubernetes Administrator (CKA), HashiCorp Terraform Associate, Docker Certified Associate, AWS DevOps Engineer Professional.

## 6.2 Reimbursement Limits

Reimbursement limits vary by employee level to reflect career-stage investment needs. Limits apply per calendar year and cover all sponsored certifications combined.

| Employee Level | Annual Reimbursement Cap | Includes                                                 |
|----------------|--------------------------|----------------------------------------------------------|
| L1             | \$1,500                  | Exam fees and prep materials only                        |
| L2             | \$2,500                  | Exam fees, prep materials, and one online course         |
| L3             | \$4,000                  | Exam fees, prep materials, online courses, and bootcamps |
| L4 and L5      | \$6,000                  | All of the above plus conference attendance              |

## 6.3 Process

To request certification sponsorship, follow these steps:

1. Submit a Certification Sponsorship Request form through the HRIS portal under Learning > Certification Sponsorship at least 30 days before the intended exam date.
2. The request must include the certification name, provider, estimated cost breakdown, relevance to current role, and intended exam date.
3. The direct manager reviews and approves or rejects the request within 5 business days.
4. If approved, the Talent Development team issues a purchase order or provides instructions for direct payment.
5. After passing the exam, the employee submits the certificate and any receipts for reimbursement of out-of-pocket costs.
6. Reimbursement is processed within 2 payroll cycles.
7. If the employee fails the exam, they may request sponsorship for one retake within 6 months. A second failure is not eligible for further sponsorship for the same certification.

## 7. Annual Training Budget

In addition to the certification sponsorship program, each department receives an annual training budget allocated by the Talent Development team in consultation with department heads. The budget covers team training sessions, workshop facilitation, conference sponsorships, and external speaker

engagements. The per-employee training budget guideline for 2026 is \$1,200 per full-time employee and \$600 per contract employee. Department heads have discretion to allocate the budget across their teams based on development priorities. Unused budget does not roll over to the next year.